

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

SAMEH ELAWAMRY., *Claimant*

v.

CMA CGM (AMERICA) LLC, *Respondent.*

DOCKET NO. 2007(I)

Served: October 7, 2024

BEFORE: Theresa DIKE, *Small Claims Officer.*

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

Claimant Sameh Elawamry initiated this proceeding by filing an informal complaint at the Federal Maritime Commission (“FMC” or “Commission”) against Respondent CMA CGM (America) LLC (“CMA CGM”). Claimant alleges that CMA CGM failed to verify the ACID numbers included on its bills of lading for Claimant’s vehicles, failed to correct the ACID number even when the mistake was discovered at the port of destination, failed to timely communicate with him regarding the status of his container, and mishandled his container release in connection with an arrangement to ship his vehicles from the United States to Egypt, causing him to incur extra storage fees at the port. Claimant further alleges that by so doing, CMA CGM violated 46 U.S.C. §§ 41102(c) and (d) and 41104(a) and (d) of the Shipping Act.² Claimant seeks a reparations award in the amount of \$8,067. He initially requested reparations in the amount of \$6,915 but later amended his request to add an additional \$1,152, which he states is the amount of extra storage charges that he was forced to pay to the Egyptian Port Authorities due to the actions of CMA CGM.

A. Background and Procedural History

Claimant hired Emarat Shipping Inc. (“Emarat”), a non-vessel-operating common carrier (“NVOCC”), to ship two vehicles – a 2023 Honda CRV and a 2023 Mercedes C300 - by container from Long Beach, California, to Egypt. Emarat then arranged with CMA CGM, an

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

² Pro se Claimant initially alleged that Respondents violated sections 41102 and 41104 of the Shipping Act but later specified the violated sections as 41102(c), 41102(d), 41104(a) and 41104(d).

ocean common carrier, to transport the shipments from Long Beach to Port Said, Egypt. The Egyptian authorities require an Advance Cargo Information Document (“ACID”) identification number to be obtained and listed on the shipping documents of all cargo imported to Egypt. Claimant did not provide ACID numbers to Emarat for his vehicles; Emarat then copied an ACID number Claimant had provided to it in the past for a furniture shipment and added it to the shipping documents for the vehicles at issue. When the container arrived in Egypt, CMA CGM advised Emarat that the Egyptian customs authority had rejected the container because the ACID numbers for his vehicles were invalid. Claimant tried to submit new ACID numbers to prevent the container from being returned to the United States, but the vehicles were ultimately returned. Claimant subsequently filed this Claim against CMA CGM as well as Emarat.³

On April 24, 2024, the Secretary of the Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), notifying Respondent of the Claim and instructing it to file a response by May 20, 2024, and to indicate whether it consented to the use of the Commission’s informal procedures at Subpart S for adjudication of the Claim. The Secretary also assigned this proceeding to the Chief Administrative Law Judge (“Chief ALJ”) to designate a small claims officer (“SCO”) to adjudicate the proceeding. On May 21, 2024, CMA CGM filed a response to the Claim and it consented to the use of the informal procedures on May 24, 2024. On June 3, 2024, the Chief ALJ assigned this proceeding to the undersigned for adjudication.

Pursuant to 46 C.F.R. § 502.304(a) and (e) of the Commission’s Rules of Practice and Procedure, which authorize the SCO in a Subpart S proceeding to request, if deemed necessary, additional documents or information from the parties, on June 12, 2024, the SCO issued a Request for Additional Documents and Information (“Request for Supplemental Information”) directing the parties to provide certain information and documents by June 26, 2024, and permitting any party wishing to file a response to the opposing party’s submission to do so by July 3, 2024.

On June 27, 2024, CMA CGM submitted a Motion for Status Conference Regarding the June 12, 2024 Order Requesting Additional Documents and Information (“Motion”), in which it requested a status conference to clarify the process for the submission of the information and documents required in the request for supplemental information; the potential for consolidating related proceedings “for some or all purposes;” to ascertain whether it might be granted additional time to submit a response to the request for supplemental information; and, to seek a protective order or confidentiality protection for some of its documents containing commercially sensitive information. Motion at 1-2. On June 27, 2024, an Order on Respondent’s June 27, 2024, Motion was issued, addressing the matters raised in CMA CGM’s motion. The parties were granted extensions of time to submit their responses. On July 10, 2024, Claimant submitted his response (“C. Supp. Info”). On July 11, 2024, CMA CGM’s response was received (“R. Supp. Info”). On July 17, 2024, Claimant submitted a reply to CMA CGM’s response (“C Reply”), while CMA CGM submitted a reply to Claimant’s response (“R Reply”) on July 31, 2024. Additionally, on September 12, 2024, CMA CGM submitted public and confidential

³ Claimant filed the complaint against Emarat as a separate proceeding. That complaint has been adjudicated under Docket No. 2005(I).

versions of twenty-five documents for which it requested confidentiality. The record is now ripe for a decision.

As discussed in greater detail below, Claimant failed to prove its allegations against CMA CGM. Accordingly, the claims against CMA CGM are dismissed and Claimant's request for reparations from CMA CGM is denied.

B. CMA CGM Motion for Confidential Treatment

On June 27, 2024, CMA CGM filed a motion in which, among other things, it expressed "concerns with the production of certain documents requested in the [SCO's June 26, 2024, request for additional information]," which "contain commercially sensitive information or are otherwise subject to confidentiality agreement(s)." Motion at 1-2. In its response to the request for additional information, CMA requested confidential treatment for its exhibits 12, 13, 16, and 27, stating that they "contain rates and other commercial terms that are protected by confidentiality provisions of CMA CGM's service contract with Emarat." C. Supp. Info. pg. 1 at Section I.

Commission Rule 5 authorizes confidential treatment for confidential commercial information. 46 C.F.R. § 502.5. The documents in question appear confidential and CMA CGM's request is reasonable. Accordingly, the request for confidentiality is granted.

C. Argument of the Parties

1. Claimant's Arguments

Claimant alleges that on October 25, 2023, he was notified in an email from CMA CGM that the container in which he had shipped his two vehicles had been rejected by the Egyptian authorities due to invalid ACID numbers entered by Emarat in the bills of lading for his vehicles. He states that he then sent an email to CMA CGM on October 28, 2023, asking that the bills of lading be corrected because the shipping regulations in Egypt allow for the information on a bill of lading to be corrected. According to him, despite many emails and calls to CMA CGM, it failed to correct the ACID numbers or provide any information corroborating that the Egyptian authorities had rejected the container or that the ACID numbers could not be corrected to avoid the container's forced return to the port of loading. Complaint at 2. Claimant maintains that it was not until his attorney sent a demand letter on November 2, 2023, that CMA CGM finally provided a tracking number showing that the container was scheduled to return to the port of Long Beach on December 15, 2023. Complaint at 2. Claimant states that he then received a copy of CMA CGM's invoice for charges in the amount of \$4,550 for shipping the container back to the port of loading, which he paid on December 7, 2023. Complaint at 2. Claimant further alleges that he sent an email to Emarat on December 12, 2023, instructing it to have the container ready for pick up and he was informed the same day that the container would be ready for him to pick up. He states that the container arrived at the port of Long Beach on December 15, 2023, and on December 19, 2023, he received an email from the customs broker informing him that the container should be handled as an export with no customs clearance required by CMA CGM but "for some unknown reason the container ended up being returned as an import and customs clearance was required to free up the container for pick up." Complaint at 3. Claimant states that

between December 20, 2023, and December 29, 2023, there were many back-and-forth phone calls and emails from him to CMA CGM urging the release of his container, with storage fees accruing at the port every day, but CMA CGM blamed him for the delay in releasing the container, charged him for the terminal storage, and refused to perform customs clearance for the container, as a result of which Emarat charged him customs clearance fees to clear the container for release. Complaint at 2. Claimant states that when he complained that his customs broker never requested a re-export, he was informed by CMA CGM on December 26, 2023, that Emarat requested the export, but Emarat denied that it did. Complaint at 3-4.

In addition, Claimant asserts that on December 29, 2023, CMA CGM released his cargo to Emarat without his permission, advising him that Emarat was the only entity that could pick up the container from the port. He alleges that Emarat refused to release his cargo, insisting that CMA CGM storage fee charges were owed on the container. He states that from January 5, 2024, to January 9, 2024, he complained to CMA CGM that Emarat was insisting that he pay \$2,346 said to be CMA CGM storage charges but CMA CGM chose to do nothing and moreover, insisted on collecting the fees. Complaint at 4. Claimant states that he was then forced to pay the storage charges on January 9, 2024, but CMA CGM did not send an invoice for the storage charges until January 12, 2024, after he had already paid Emarat. Complaint at 4.

Claimant contends that CMA CGM had a duty to verify the ACID numbers provided by Emarat because “[e]ach shipping line such as CMA CGM should have an account through an international shipping website called Nafez [which is] designed and connected with each country the shipping line does transportation to and from to verify and confirm ACID numbers,” and “CMA CGM has an account with Nafeza.” C. Supp. Info pg. 2-3 at no. 3. Claimant explains that in another arrangement with a different carrier, the carrier, unlike CMA CGM, had made an effort to verify the ACID number, found error on the ACID number, corrected it, and successfully delivered the cargo to Egypt. C. Supp. Info pg. 2-3 at no. 3. Claimant opines:

Additionally, Tareq Baraq [an auto dealer acquaintance of Claimant] conveyed that CMA CGM could have amended the manifest with a new ACID and delivered the cargo without returning it to the Port of Origin. It was not a requirement from Egypt, but CMA CGM told Tareq [Elbarq, president of Emarat], that they would not do it and chose to return the cargo.

C. Supp. Info pg. 2-3 at no. 3. Further, Claimant asserts that CMA CGM’s charges were unlawful:

Because I didn’t request the container to be returned back to the [port of loading], CMA didn’t verify the ACID, CMA didn’t want to help fix the ACID number before [the] container [was] returned, I didn’t ask CMA to change [the] container to import or Re export, I didn’t approve any of the extra terminal charges, and I asked not to allow Emarat shipping to pick up the container after being returned.

C. Supp. Info. pg. 3 at no. 7.

2. CMA CGM's Arguments

CMA CGM notes that Emarat contracted with it to ship the vehicles at issue, thus, that Claimant was not the shipper for the cargo but rather, the consignee. CMA CGM states that Emarat was responsible for verifying the validity of the ACID numbers Emarat provided for the shipping of the vehicles. It states that it repeatedly informed Claimant that the Egyptian customs authority had instructed that the vehicles be returned to the port of loading because their ACID numbers were invalid. CMA CGM asserts that the new ACID numbers provided by Claimant were generated after the date the containers were loaded at the original port of loading, which made them unacceptable by Egyptian law which requires that ACID numbers be generated prior to loading the cargo on board the vessel. Answer pgs. 1-2 at nos. 1-3; R. Supp. Info pg. 3 at no. 1. Further, CMA CGM notes that its invoices were issued to Emarat, not Claimant, and asserts that the delay in processing the container and releasing it to Claimant was not caused by anything CMA CGM did. Answer pgs. 2-3 at nos. 1-3. CMA CGM further notes that as the shipper, Emarat was the only party entitled to take delivery of the container in question at the port of loading, under the waybill issued for its return from Egypt. CMA CGM avers that it did everything within its power to minimize the costs to all parties. Answer pg. 1 at no. 5.

CMA CGM contends that as consignee and receiver of the cargo upon delivery at the port in Egypt, any rights Claimant had under the bill of lading were tied only to the portion of the delivery occurring in Egypt. It explains:

As originally booked, this was a US export shipment to Egypt and, accordingly, reflected Claimant's pertinent information in Egypt as consignee. Once the customs authorities rejected the shipment, delivery was impossible, and the shipment was returned to Emarat in the United States. Moreover, during the period wherein CMA CGM was processing the shipment for reexport (before CMA CGM was instructed to release the container at [the port of Long Beach], as part of the reexport process, Claimant executed a letter of renouncement, disclaiming any right to take delivery of the cargo.

R. Supp. Info pg. 8 at no. 3.

CMA CGM states that it did not have the ability to correct the ACID numbers when they were rejected and that as reported by its agent in Egypt, to curb corruption, the authorities in Egypt have imposed a strict prohibition preventing the discharge of any container lacking a valid, or not previously used ACID number. Thus, according to CMA CGM, even if the ACID number could have been corrected, which it could not, to do so would have required that the entire vessel remain at port from the date of arrival through the date Claimant obtained the new ACID numbers – October 29, 2023, which would have imposed extraordinary operational burdens on CMA CGM. R. Supp. Info pg. 8 at no. 4.

CMA CGM asserts that the delay in customs clearance and delivery of the container was not its fault, because:

When the container was loaded in Ningbo for return to the port of loading [Long Beach], the instruction from the shipper (Emarat) was that the container would be

immediately reexported once again to Egypt. CMA CGM began processing it under those guidelines. The process would be for CMA CGM to clear the container with US customs on CMA CGM's customs bond for the limited purpose of allowing the container to travel under bond from USLGB to USLAX for reexport to Egypt under new export booking NAM6628440.

After arrival on December 15, Claimant decided that he wanted to take delivery of the container in USLGB and did not want to reexport the container. At that point, CMA CGM had to remove the container from its customs bond because the container was now intended for import into the U.S. rather than mere transit.

R. Supp. Info pgs. 9-10 at no. 7.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD ("PF")

1. Claimant Sameh Elawamry is an individual shipper residing in the State of California. Complaint pg. 1.
2. Emarat is an ocean transportation intermediary (organization and license number 022530), licensed as both a non-vessel-operating common carrier ("NVOCC") and an Ocean Freight Forwarder. <https://www2.fmc.gov/oti/>.
3. CMA CGM is a vessel-operating-common carrier ("VOCC"). Complaint at pg. 2; Answer pg. 1 at no. 1.
4. Claimant entered into an agreement with Emarat to ship two vehicles from the Port of Long Beach to Port Said, Egypt. Answer pg. 1 at no. 1; C. Supp. Info. pg. 2 at no. 1; R. Supp. Info. pg. 3 at no. 1.
5. Emarat entered into an agreement with CMA CGM under Service Contract Number QS4119571 to ship Claimant's cargo - container number TLLU4452514 - from the Port of Long Beach to Port Said, Egypt. Answer pg. 1 at no. 1; R. Supp. Info. pg. 3 at no. 1; R. Supp. Ex. 12.
6. Claimant did not contract with CMA CGM to provide any services with respect to container number TLLU4452514. C. Supp. Info. pg. 2 at no. 1; R. Supp. Info. pg. 3 at no. 1.
7. Emarat was listed as shipper/exporter of the cargo on CMA CGM's Waybills NAM6480440 and NAM6480441, CMA CGM's bills of lading. Answer pg. 1 at no. 1; Answer Exs. 2 and 6.
8. Claimant was listed as consignee and notify party on Waybill NAM6480440 and NAM6480441, CMA CGM's bills of lading. Answer pg. 1 at no. 1; Answer Exs. 2 and 6.
9. CMA CGM's Waybills NAM6480440 and NAM6480441 listed the container and seal under the waybill as TLLU4452514 and SN # UL8886850 and the goods being shipped

as “1 x 40HC Container: Pieces 8703600045 (HS) 2023 Mercedes C30 VIN W1KAF4GB4PR0899911 8 Tire ACID - number 9992023070000005277 Part Load Container(s) covered by BLs: NAM6440461, NAM6480440.” Answer Exs. 2 and 6.

10. Section 25(4) of CMA CGM Bill of Lading Terms and Conditions, titled “Description of Goods,” provides:

The Merchant warrants to the Carrier that the particulars relating to the Goods as set out overleaf have been checked by the Merchant on receipt of this Bill of Lading and that such particulars, and any other particulars furnished by or on behalf of the Merchant, are adequate and correct.

R. Supp. Ex. 29 at pg. 7.

11. CMA CGM’s bill of lading Section 9((1)(f) provides: “The Carrier may at any time and without notice to the Merchant, comply with any order or recommendations given by any government or authority, or any Person acting or purporting to act as or on behalf of such government or authority, or having under the terms of any insurance on any conveyance employed by the Carrier the right to give orders or directions.” R. Supp. Ex. 29 a pg. 3.
12. Section 1 of CMA CGM’s bill of lading states: “‘Merchant’ includes the Shipper, Holder, Consignee, Receiver of the Goods, any Person owning or entitled to the possession of the Goods or of this Bill of Lading and anyone action on behalf of any such Person.” R. Supp. Ex. 29 a pg. 3
13. The Egyptian customs authority requires importers and exporters of cargo to obtain an ACID number for each cargo at least 48 hours before it is shipped and provide them to the carrier for inclusion on the cargo’s bill of lading before actual shipping from the importing or exporting country. R. Supp. Info pg. 2 at no. II; R. Supp. Ex. 10.
14. The carrier must ensure that the ACID number provided by the importer is included in the bill of lading and other shipping documents for the cargo. R. Supp. Info pg. 2 at no. II; R. Supp. Ex. 10.
15. Any shipment without a valid ACID number cannot be imported to Egypt and must remain on board the carrying vessel and be returned to the port of loading. R. Supp. Info pg. 2 at no. II; R. Supp. Ex. 10.
16. On August 25, 2023, CMA CGM received a booking request from Emarat to transport the vehicles at issue. R. Supp. Info pg. 4 at no. 2; R. Supp. Ex. 13.
17. On August 29, 2023, Emarat entered and submitted the invalid ACID number to CMA CGM for the vehicles’ shipping documents. R. Supp. Info pg. 4 at no. 2; R. Supp. Ex. 14.
18. On September 9, 2023, Claimant provided a letter of renouncement to CMA CGM, stating in pertinent part: “I confirm that I have no objection to re-export of cargo to any

destination as Shipper may wish to. This acknowledgment to be considered as full and final relinquishment of our rights on said cargo.” R. Supp. Ex. 26.

19. On October 19, 2023, CMA CGM Egypt Customer Care received a message from CMA CGM’s Customs Department, stating:

Kindly note that, As per below screen shot from NAFEZA sys (local customs sys) regarding BLS # (NAM6480440-NAM6440461) these showing ACID were used before. So, as per the customs law & regulation, CNTR TLLU4452514 will be ROB to be returned to origin POL & all related charges to be debited on POL account. Thanks to inform the receiver & liaise with POL to update system

N.B.

- The main issue with customs is ACID issuing date so, POL must check the following in all cases.

- ACID issued date must be before loading date (check it in MTS letter).
- No ACID no load (this means updating system by ACID is a must before loading otherwise prevent fm [sic] loading).
- No load with expired ACID
- Ensure the ACID is valid.
- NO ACID amendment without MTS letter to check ACID issued date to insure issued before loading date.

R. Supp. Info pg. 4 at no. 2; R. Supp. Ex. 15, pg. 5 (emphasis in original).

20. On October 25, 2023, CMA CGM sent an email to Emarat stating in pertinent part:

Please note that from local customs system regarding BLS # (NAM 6480440-NAM6440461) these showing ACID were used before. So as per the customs law & regulation, CNTR TLLU4452514 will ROB to be returned to origin POL & all related charges to be debited on POL account. Kindly check and confirm.

R. Supp. Ex. 3 at pg. 11.

21. On October 28, 2023, Claimant responded to CMA CGM and Emarat stating in pertinent part:

I wasn’t aware about the requirements and regulations till I received an email from Victor dated Oct 25, 2023 that the container will be returned to the USA because of a wrong ACID number being added.

According to Egypt customs, the shipper or consignee is able to correct the ACID number, pay penalty fees, and release the container at POD. It's absurd, and totally unreasonable to return a container back to POL (which is thousands of miles away) because of paperwork error. There must be a solution for this matter other than this outrageous return to POL method.

I was also able to obtain ACID number for each policy;

Mercedes C300 ACID number 9992023100000112292.

Honda CRV ACID number 9992023100000112581

Time is the essence. Please fix this matter before shipment leaves Egypt. [sic] Otherwise, I will seek legal rights in the USA to get compensated for all financial and emotional damages from all parties involved. I also attached an image of the Vessel last tracking update.

R. Supp. Ex. 3 at pg. 7 (punctuation and emphasis in original).

22. On October 27, 2023, Victor Vega from Emarat sent an email to CMA CGM, requesting:

Please check with Customs in Egypt to confirm if its possible to hold the container in Egypt and do not return it until the consignee is able to resolve the issue. Consignee is added to this email, please provide a detailed response so he can understand his options on this matter.

R. Supp. Ex. 3 at pgs. 7-8.

23. On October 27, 2023, CMA CGM responded:

Dear Customer,

Please note that the POD team has already confirmed the below quotes and that it is not feasible to hold the container in Egypt

Q / Pls note that according to customs law the date of loading from OPOL [original port of loading] must be after the date of generating ACID number, therefore, first the container must be returned to the OPOL and then a new ACID number is generated. /
UQ

R. Supp. Ex. 3 at pg. 7 (emphasis in original).

24. There then followed a series of back-and-forth emails between Claimant and CMA CGM, between October 30, 2023, and November 6, 2023, with Claimant asking about the status

of his container, insisting that CMA CGM hold the containers in Egypt so that the ACID problem could be solved without returning the container to Egypt, and CMA CGM stating that it was checking on the status of the container and explaining that because cargo was already aboard the vessel when the new ACIDs were obtained, the new ACID numbers would not be accepted by the authorities, which require ACIDs to be obtained before loading the cargo on the vessel. R. Supp. Ex. 3.

25. On November 2, 2023, Claimant's attorney sent a demand letter to Emarat, with a copy to CMA CGM, asking for an update on the status of the container by November 6, 2023, to avoid a lawsuit, and notifying Emarat that Claimant intended to seek compensation for the lost use of the vehicles. R. Supp. Ex. 3; Complaint at 2.
26. On November 6, 2023, Claimant sent an email to Emarat and CMA CGM, stating in pertinent part: "I asked for status on my shipment for the past 10 days with no response TILL NOW!! This lack of cooperation and providing information deprives me from the right to be able to take action on time. Rest assured, all parties involved will be legally responsible for this poor case handling." R. Supp. Ex. 3 at pgs. 2 - 3.
27. About a week after Claimant's demand letter, CMA CGM provided Claimant with a new tracking number showing that the container would arrive at the port of Long Beach on December 15, 2023. Complaint at pg. 2.
28. Between December 19, 2023, and December 26, 2023, Claimant exchanged a series of emails with CMA CGM and Emarat on issues surrounding the customs clearance of the container and expressed dissatisfaction with the length of time it was taking for customs clearance of his container, insisting that he would not pay any storage charges due to the delay. However, CMA CGM declined to waive the storage charges, insisting that the charges were for the customer to pay. R. Supp. Ex. 19.
29. On December 20, 2023, Claimant wrote to Emarat, stating:

I didn't know that it would cost that much to get customs clearance. I will need to do my own research first. Please don't let Hahn do the custom [sic] clearance until further notice.

R. Supp. Ex. 19 at pg. 15.
30. On December 26, 2023, Claimant sent an email to CMA CGM, stating in pertinent part:

My container has made it back to Long [B]each Port on December 15. I paid the return shipment invoice for \$4550 (attached) before the container arrived to [L]ong [B]each port on the 15th. Till now I am having issues getting my container out, because CMA and shipping broker hasn't [sic] completed custom clearance and storage fees are racking up.

I already told CMA to waive any storage fees (because I am not responsible for it) and to get my container ready for pick up out of the port ASAP. This has been going for way too long.

R. Supp. Ex. 19 at pg. 1. CMA CGM responded the same day:

The initial request for this cargo by Shipper/Emarat was for Re-Export and has been processed under those guidelines to this point. The CMA contractual agreement is with the Shipper/Emarat for the movement of this cargo.

As you are listed as Consignee and desire to change the request not to Re-Export cargo, this is now an Import Shipment and is subject to all import requirements. Clearance must be filed with Customs and storage must be cleared.

The best way to resolve this issue is to work with [sic] directly with the Shipper to update your request and to complete necessary requirements for import shipment.

R. Supp. Ex. 19 at pg. 3. Claimant responded to CMA CGM and Emarat:

I didn't request Emarat shipping to re-export the container. I WANT IT OUT OF THE PORT. Is this too much to ask for? I don't want to work with your company any more.

I want my container out TODAY!! And everyday delay will add up to the bill that I will seek legal rights for.

R. Supp. Ex. 19 at pg. 2 (emphasis in original).

31. On December 27, 2023, Emarat advised Claimant's attorney in pertinent part:

Sameh [Claimant] has contacted CMA on his own, skipping Emarat Shipping and this has caused confusion within CMA.

The container was assigned for re-export, which should not have been done because Emarat Shipping did not request it. As soon as CMA advised that the container needed customs clearance, I provided Sameh with a customs broker who could do the customs clearance, so we could get it out of the port and avoid storage, but Sameh decided to handle the customs clearance on his own. The customs clearance that he got done is not correct, it needs to be undone so the customs broker can do the correct clearance and we can finally take the container out.

32. On December 28, 2023, customs clearance was completed on the container. R. Supp. Ex. 20 at pg. 9.

33. On December 27, 2023, CMA CGM advised that it would guarantee payment of the terminal's storage and dwell fees on Claimant's container so that the terminal would release the container and stated: "We can address who owes what after the fact." R. Supp. Ex. 20 at pgs. 7 - 9. *See also* R. Supp. Ex. 21.
34. To ensure release of Claimant's container by APL Terminal, CMA CGM guaranteed to APL Terminal that it would pay APL Terminal's charges in the amount of \$1,965 for demurrage and \$400 for dwell fees. R. Supp. Ex. 23.
35. On December 29, 2023, CMA CGM released the container to Emarat. R. Supp. Info. pg. 5 at no. 2; R. Supp. Ex. 23 at pg. 2.
36. On January 2, 2024, Claimant emailed CMA CGM, stating:
- Against all my instructions to Emarat shipping. Victor [Vega from Emarat] is claiming the container at his warehouse today, even though I asked him not to pick it up. More importantly, Victor also mentioned that container was handed to him from CMA and the port UNSEALED!!! Please read his email below. Please I need a verification from you on the container seal and exact time [the container] left the port, before I claim any loses [sic] or damages on Emarat shipping and CMA.
- R. Supp. Ex.23 at pgs. 3 - 4; Answer Ex. 4, pg. 2. The same day, CMA CGM responded:
- Please keep in mind, CMA did not hand over the unit. Emarat Shipping is well within their rights as shipper of the cargo to pick-up the unit. CMA guaranteed the storage and dwell charges as previously discussed to avoid any additional cost to all parties while investigating the faulty party.
- The seal on our records show UL8886850. As per below, the terminal reflects the same seal number when discharging the vessel. Truckers in the U.S. are to inspect the container before out-gating the unit, and if the seal is missing, to report the issue with the terminal and have one placed on the unit. The second screen shot below shows the date and time (U.S. Pacific time) of when the unit was picked up.
- R. Supp. Ex.23 at pgs. 2 – 3; Answer Ex. 4, pg. 1.
37. APL Terminal's records indicate that Container TLLU4452514 was picked up on December 29, 2023, with its seal intact and no damages. R. Supp. Ex.23 at pg. 2; Answer Ex. 4, pg. 1.
38. On January 2, 2023, Victor Vega emailed Claimant, stating:

Let us know if you want to be present when we unload the container tomorrow afternoon, we need to get confirmation from you by noon, January 3rd. The container needs to be unloaded and returned empty to the port asap to avoid the daily fees to add up even more, these fees that you will have to pay.

I informed you since Friday last week that we were able to unload today and you did not show up. If you are not able to come we will have to unload the container without your presence in order to return the container to the port asap.

The cargo will be stored in our warehouse and it will incur a \$10/day storage fee per vehicle and \$2.50/day storage fee per pallet.

In order to collect the cargo from our warehouse you need to pay Emarat Shipping for all the import fees, including the terminal storage charges that CMA guaranteed. We can refund the guaranteed CMA charges within 90 days or earlier if CMA confirms that the guaranteed charges will not be charged, again only if CMA confirms these are not to be paid.

Once more we are unable to release the cargo without payment. If there is any attempt to from your end to collect the cargo without payment we will have to call the police.

C. Supp. Info. Ex. O.

39. Between January 2, 2024, Emarat and Claimant exchanged back-and-forth emails disputing who was at fault for the container's return, with Claimant stating that no charges to him were pending from CMA CGM since it had guaranteed to pay APL Terminal and that he would not pay any charges from Emarat, while Emarat insisted that it would not release Claimant's cargo unless Claimant paid all charges on the container, including the terminal storage charges CMA guaranteed to pay APL Terminal. R. Supp. Ex. 25. Emarat also stated that Claimant was aware that CMA CGM was "investigating an amount of \$2,365 plus any fees for having the container out." R. Supp. Ex. 25, at pg. 16.

40. On January 9, 2024, CMA CGM wrote to Claimant and Emarat, advising:

There are outstanding charges in the amount of \$2,365.00. This represents \$1,965.00 in storage and \$400 in dwell fees. In the ordinary course of business, the consignee would have had to pay these amounts *before* the container could outgate from the port. In this case, because of the dispute and confusion involved with this shipment and in everyone's interest, CMA guaranteed the charges with the terminal. That does not mean that the consignee is absolved of payment obligations or that the charges are

waived/cleared/cancelled. Rather, it means that CMA told the terminal that it can look to CMA for payment of these charges and that CMA will then recoup them from the bill of lading part(ies). Again, CMA was not required to do this and took this step to the benefit of all parties; had we not guaranteed the charges, the container would have stayed in port and continued to accrue fees.

These charges will be invoiced to Emarat and/or Mr. Elawamry, less any amount attributable to CMA fault (if any). However, it bears representing that at this time I've seen absolutely nothing that would indicate CMA is responsible in any way for causing the delay or the return of the cargo to the U.S.

Instead, voluminous emails back and forth all clearly show that Mr. Elawamry, or Emarat, or some combination of the two caused an incorrect ACID number to be submitted to Egyptian customs. Egyptian customs then required the shipment to be returned to origin. The move from Egypt to USLAX was done in accordance with the terms and conditions of NAM6440461, even if that is not the routing that was originally contemplated when the booking was made. CMA is in no way at fault for this leg of the journey and indeed would not have undertaken the expense and risk of customs penalty associated with shipping this cargo back to origin were it not required to do so. Under the terms and conditions of the bill of lading NAM6440462, the shipper/consignee bear the responsibility for all associated costs of this return journey.

Likewise, our investigation to date indicates that CMA is not responsible for any delay upon the cargo's return. We were originally advised that the cargo would be re-exported immediately. As such, it could be customs cleared on CMA's bond. When, at the eleventh hour, the instruction changed and we were advised that this cargo would indeed be imported via LAZ, we were legally required to remove it from our customs bond. As has already been mentioned, there were delays in clearing the cargo for import (which is the responsibility of the consignee), delays which had nothing to do with CMA.

In short, no evidence I have seen suggests that CMA caused any delay. To the contrary, we've done everything in our power to expedite resolution of this matter for all parties involved, including taking steps such as guaranteeing terminal charges, which we were under no obligation to do.

R. Supp. Ex. 25, at pgs. 10 - 11.

41. On January 9, 2024, Claimant instructed CMA CGM: “For [the] third time, please me [sic] your invoice and I will pay you the port fees that you are claiming.” R. Supp. Ex. 25, at pg. 10.
42. On January 16, 2024, CMA CGM sent an invoice passing through APL Terminal’s demurrage and dwell charges guaranteed by CMA to Claimant and Emarat. R. Supp. Ex. 25, at pg. 1. Responding to Claimant’s complaint that the invoice was not timely, CMA CGM indicated that it does not automatically issue invoices when guaranteed by CMA CGM, and that CMA CGM generally issues new invoices monthly, on the 2nd week of each month. R. Supp. Ex. 25, at pg. 2. CMA CGM asked the parties to indicate to whom the invoice should be issued and Claimant responded: “You can issue the invoice to me.” R. Supp. Ex. 25, at pg. 2.
43. Claimant paid CMA CGM’s invoice passing through APL Terminal’s demurrage and dwell charges in the amount of \$2,365.00 to Emarat by wire transfer on January 11, 2024. R. Supp. Ex. 27, at pg. 4.
44. On February 15, 2024, Emarat forwarded Claimant’s wire transfer for the demurrage and dwell charges to CMA CGM. R. Supp. Info. pg. 7 at no. 2; R. Supp. Ex. 27.
45. On April 16, 2024, Claimant sent a demand letter to CMA CGM requesting a refund to him in the amount of \$6,915 within 48 hours or it would “proceed with administrative and legal action against CMA CGM including all court and attorney’s fees. R. Supp. Info pg. 7 at no. 3; R. Supp. Ex. 28.
46. On April 18, 2024, Claimant initiated this proceeding by filing a Claim against CMA CGM. Complaint at pg. 1.

III. DISCUSSION

A. Controlling Authority

Respondent CMA CGM is an ocean common carrier. “The term ‘ocean common carrier’ means a vessel-operating-common carrier.” 46 U.S.C. § 40102(18). Emarat, which contracted with Claimant and Respondent for the shipping to Egypt of the cargo at issue, is a non-vessel-operating common carrier. A non-vessel-operating common carrier is “a common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17).

A “common carrier” is a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and

- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country
.....

46 U.S.C. § 40102(7). The term “shipper” means –

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers’ association; or
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

Claimant alleges that CMA CGM violated section 41102(c) which provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

Pursuant to section 545.4 of the Commission’s regulations, in order to establish a successful claim for reparations” under section 41102(c), the claimant must demonstrate that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Claimant also alleges that CMA CGM violated section 41102(d). Section 41102(d) provides:

Retaliation and Other Discriminatory Actions.-A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not:

- (1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or

(2) resort to any other unfair or unjustly discriminatory action for-

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has-(i) patronized another carrier; or (ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason.

46 U.S.C. § 41102(d) (2022).

Claimant also alleges that Emarat violated section 41104(a), including (14) and (15) by imposing unfair rates and charges; loading freight from port when told not to, as well as returning freight to the port of loading when told not to; engaging in unfair adjustment of price and terms of release of freight; conducting unjust, unreasonable and retaliatory practices against Claimant, including assessing Claimant for a charge that is inconsistent or does not comply with all applicable provisions and regulations; and invoicing Claimant for demurrage or detention charges without including the required invoice in the invoice. The applicable section 41104(a) provisions state:

(a) IN GENERAL – A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not ...

(4) for service pursuant to a tariff, engage in any unfair or discriminatory practice in the matter of-

(A) rates or charges;

* * * *

(D) loading and landing of freight; or

(E) adjustment and settlement of claims;

* * * *

(14) assess any party for a charge that is inconsistent with does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor rule); or

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with-

(A) all provisions of part 545 of title 46, Code of Federal Regulation (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled “Interpretive Rule

on Demurrage and Detention under the Shipping Act” (or successor rule).

Claimant alleges, moreover, that CMA CGM violated section 41104(d), which provides

(d) DETENTION AND DEMMURAGE INVOICE INFORMATION. -

(1) INACCURATE INVOICE. -If the Commission determines, after an investigation in response to a submission under section 41301, that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.

(2) CONTENTS OF INVOICE.-An invoice under subsection ((a)(15), unless otherwise determined by subsequent Commission rulemaking, shall include accurate information on each of the following, as well as minimum information as determined by the Commission:

- (A) Date that the container is made available.
- (B) The port of discharge.
- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier’s performance did not cause or contribute to the underlying invoiced charges.

46 U.S.C. § 41104(a) and (d) (2022).

B. Evidence and Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. 556(d); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, Docket No. 94-24, 27 S.R.R. 1137, 1161 (FMC Aug. 12, 1997). *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“Where a party having the burden of

proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

C. Claimant Fails to Demonstrate that CMA CGM Violated the Shipping Act

Section 41102(c)

Claimant alleges that CMA CGM violated section 41102(c) “by conducting unjust, unreasonable, and retaliatory practices against Claimant including [p]roviding additional services not requested or required in order to increase fees against Claimant by returning the container in question to the port of loading and refusing to deliver the container at the port of destination with a new ACID, and charging additional fees for return the container and the accumulated storage fees at Long [B]each terminal due to their negligence.” Claimant further alleges that CMA CGM violated section 41102(c) by refusing to release his container until extra storage fees caused by CMA’s negligence were paid, and by refusing to update him on the status and location of the container. C. Supp. Info. pg. 2 at no.23.

Section 41102(c) forbids a common carrier, marine terminal operator, or ocean transportation intermediary to fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. 46 U.S.C § 41102(c). Pursuant to section 545.4, to succeed in a claim for reparations under section 41102(c), the claimant must also show that:

- 1) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- 2) the alleged illegal conduct is “occurring on a normal, customary, and continuous basis;”
- 3) the alleged practice or regulation relates to or is connected with receiving, handling, storing or delivering property;
- 4) the alleged practice or regulation is unjust or unreasonable; and,
- 5) the alleged practice or regulation in question is the proximate cause of the loss the claimant alleges it suffered.

46 C.F.R. § 545.4. To prevail, all five elements must be proven.

1. CMA CGM is an Ocean Common Carrier

CMA CGM is an ocean common carrier, thus the first element required for a successful claim for reparations is satisfied.

2. The Alleged Practice Relates to or is Connected with Receiving, Handling, Storing, or Delivering Property.

The alleged conduct is related to CMA CGM's delivery of Claimant's cargo from the United States to Egypt and return of the cargo from Egypt to the United States. The element requiring that the practice at issue be related to or connected with receiving, handling, storing, or delivering property is also satisfied.

3. The Evidence does not Demonstrate that CMA CGM's Actions Were Unjust or Unreasonable

The evidence does not support a finding that CMA CGM acted unjustly or unreasonably in transporting the container in question to Egypt or returning it to the port of loading in the United States. Summarized, the facts are that under Egyptian law a new ACID number must be submitted with the shipping documents for each cargo sought to be imported into Egypt. PF 13. Emarat, the NVOCC Claimant hired to ship his vehicles to Egypt, in turn hired CMA CGM to ship the cargo. Emarat was listed as the shipper on CMA CGM's bills of lading for the vehicles, and Emarat entered a previously used ACID number on the vehicles' bills of lading. As a result, when they arrived at the port of destination the Egyptian authorities rejected the vehicles and ordered them returned to Long Beach, the port of loading. PFs 2 - 8; 13 - 20. Claimant tried to forestall the return of the vehicles by obtaining new ACID numbers for them but was unsuccessful because, as he was repeatedly told by CMA CGM, under Egyptian law imports with invalid ACID numbers must remain on board the vessel and be returned to the port of loading. Further, ACID numbers must be obtained prior to loading the cargo on board the vessel for shipping. PF 19. Thus, because Claimant's new ACID numbers were obtained after his vehicles were loaded on board CMA CGM's vessel and shipped to Egypt, they did not meet the ACID requirements. PFs 19 - 24.

The evidence shows that Emarat, which Claimant hired to ship his vehicles, was the responsible party for the rejection of the container and its forced return to the port of loading. CMA CGM complied with instructions from the Egyptian authorities to return the vehicles to their port of loading, as it was required to do. It had no duty, contrary to Claimant's contention, to countermand the orders of the Egyptian Customs Authority. Moreover, section 9(1)(f) of CMA CGM Bill of Lading Terms and Conditions provides: "The Carrier may at any time and without notice to the Merchant, comply with any order or recommendations given by any government or authority, or any Person acting or purporting to act as or on behalf of such government or authority." *See also*, Claimant's September 9, 2023, letter to CMA CGM whose terms state in pertinent part: "I confirm that I have no objection to re-export of cargo to any destination as Shipper may wish to. This acknowledgment to be considered as full and final relinquishment of our rights on said cargo." PF 18; R. Supp. Ex. 26. Therefore, CMA CGM did not act improperly by returning Claimant's vehicles to the port of loading in compliance with the instructions from the Egyptian authorities.

Further, pursuant to CMA CGM's bill of lading terms, Emarat warranted that "the particulars relating to the [vehicles] ha[d] been checked by [Emarat] and that such particulars, and any other particulars furnished by or on behalf of [Emarat], are adequate and correct." *See* Section 25(4) of CMA CGM's Bill of Lading Terms and Conditions titled "Description of

Goods;” R. Supp. Ex. 29 at pg. 7. CMA CGM had no obligation to further check the ACID numbers furnished by Emarat to ensure their validity and Claimant does not provide support for its contention that CMA CGM acted negligently by failing to do so. While Claimant explains that he subsequently booked a shipment with another carrier, which, according to Claimant, took steps to verify the ACID number he provided them for his cargo, and that he was told by someone, not shown to be an expert in Egyptian customs requirements, that the authorities would have accepted the new ACID numbers to allow the vehicles to enter into Egypt, this anecdotal information does not suffice as proof of CMA CGM’s negligence.

Additionally, because CMA CGM shipped the container in compliance with the requirements of its contract with Emarat and returned the vehicles to the port of loading, as also contracted, it was entitled to payment for its services. While there seems to have been a lag in communicating the status of his container between October 27, 2023, and November 9, 2023, when CMA CGM confirmed that the container would have to be returned to the port of loading, arranged its return, and confirmed to Claimant that the container would arrive at the port of loading on December 15, 2023 (PFs 23 - 27), this lag in communication is not sufficient to constitute unjust and unreasonable conduct by CMA CGM or to entitle Claimant to a refund of the payment CMA CGM received for its services.

Equally lacking in merit are Claimant’s allegations that CMA CGM refused to release his container until he paid extra storage fees for the container to CMA CGM; that CMA CGM should not have imposed storage fees on the container; and that it should not have released the container to Emarat. The evidence shows that CMA CGM took proactive measures to guarantee the terminal’s demurrage and dwell fees to ensure that the terminal would timely release the container, that the fees imposed by the terminal, which CMA CGM passed on to Emarat and Claimant without mark up, did not result from any actions by CMA CGM, and that the container was properly released to Emarat, the shipper, upon its customs clearance.

I, therefore, conclude based on the record: that CMA CGM did not act improperly in transporting the container at issue to Egypt or in returning it to the port of loading in the United States; that the delay in clearing Claimant’s container was not caused by CMA CGM; that the resulting storage charges on the container were imposed by the terminal; that CMA CGM passed through the storage charges from the terminal to Emarat and Claimant without any mark-up, which Claimant subsequently paid to Emarat (*see* PF 41: Claimant paid CMA CGM’s invoice passing through APL Terminal’s demurrage and dwell charges in the amount of \$2,365.00 to Emarat by wire transfer on January 11, 2024); that CMA CGM did not refuse to release the container to force payment of the storage charges; and, that CMA CGM properly released the container to Emarat, the shipper on CMA CGM’s bill of lading. Thus, the evidence does not corroborate Claimant’s allegation that CMA CGM acted unjustly and unreasonably.

Because Claimant fails to demonstrate the elements required for a successful section 41102(c) claim for reparations, the claim that CMA CGM violated section 41102(c) is dismissed.

Section 41102(d)

Claimant also alleges that Emarat violated section 41102(d), which provides:

- A common carrier, marine terminal operator, ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not-
- (1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or
 - (2) resort to any other unfair or unjustly discriminatory action for-
 - (A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has-
 - (i) patronized another carrier; or
 - (ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or
 - (B) any other reason.

46 U.S.C. § 41102(d) (2022).

Section 41102(d) was promulgated as part of the Ocean Shipping Reform Act of 2022 (“OSRA 2022”) which revised portions of the Shipping Act. Its provisions are similar to pre-OSRA 2022 section 41104(a)(3), which provided: “A common carrier, either alone or in conjunction with any other person directly or indirectly, may not . . . retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C 41104(a)(3) (2021). In an Order interpreting the provisions of section 41104(a)(3) the Commission noted that the section’s anti-retaliation provision prohibits a carrier from:

- 1. Retaliating against a shipper by refusing, or threatening to refuse, cargo space accommodations when available because
 - a. the shipper has patronized another carrier,
 - b. the shipper has filed a complaint, or
 - c. for any other reason;
- or
- 2. Resorting to other unfair unjustly discriminatory methods because
 - a. the shipper has patronized another carrier,
 - b. the shipper has filed a complaint, or
 - c. for any other reason.

Statement of the Commission on Retaliation, Docket No. 21-15, 3 F.M.C.2d 201, 206, 2021 WL 9204128 (FMC Dec. 28, 2021) (“Statement on Retaliation”).

As previously found, the evidence does not show any improper conduct by CMA CGM in the matter of the container’s transportation to Egypt, its return transportation to the United States, or the procedures CMA CGM followed in releasing Claimant’s container after it arrived

at the port of loading. In fact, Claimant does not allege specific conduct by CMA CGM towards him that was discriminatory or retaliatory in any way, nor does the evidence show any such conduct by CMA CGM. Accordingly, the allegation by Claimant that CMA CGM violated section 41102(d) is similarly dismissed.

Sections 41104(a) and (d)

In addition, Claimant fails to prove his allegations that CMA CGM violated provisions of sections 41104(a) and (d). The applicable section 41104(a) and (d) provisions state:

(a) IN GENERAL – A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not ...

(4) for service pursuant to a tariff, engage in any unfair or discriminatory practice in the matter of-

(A) rates or charges;

* * * *

(D) loading and landing of freight; or

(E) adjustment and settlement of claims;

* * * *

(14) assess any party for a charge that is inconsistent with does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor rule); or

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with-

(A) all provisions of part 545 of title 46, Code of Federal Regulation (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled “Interpretive Rule on Demurrage and Detention under the Shipping Act” (or successor rule).

41104(d) DETENTION AND DEMMURAGE INVOICE INFORMATION. -

(1) INACCURATE INVOICE. -If the Commission determines, after an investigation in response to a submission under section 41301, that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.

(2) CONTENTS OF INVOICE.-An invoice under subsection ((a)(15), unless otherwise determined by subsequent Commission rulemaking, shall

include accurate information on each of the following, as well as minimum information as determined by the Commission:

- (A) Date that the container is made available.
- (B) The port of discharge.
- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

46 U.S.C. § 41104(a) and (d) (2022).

Claimant fails to show that the rates and charges by CMA CGM were unfair; that it improperly loaded the container at issue or acted unfairly in returning the container to the port of loading when instructed to do so by the Egyptian authorities; that CMA CGM's fees and terms to release the container were unfair, that it retaliated against Claimant or that its charges for the container did not comply with all applicable provisions and regulations. Further, Claimant fails to show that the invoice for storage charges did not comply with the provisions of section 41104(a)(15) or that they were inaccurate, in violation of section 41104(d). *See* Claimant's allegations at C. Supp. Info. Pg. 2, no. 3. Thus, Claimant's remaining claims, that CMA CGM violated sections 41104(a) and (d), are also dismissed.

D. Reparations

Claimant requests reparations in the amount of \$8,067. That amount represents \$6,915 he paid to Emarat for CMA CGM's charges to return the container to the United States (\$4,550) and the terminal's demurrage and dwell charges (\$2,365) that CMA CGM passed through to Claimant and Emarat. The reparations amount also includes an additional \$1,152, in extra storage charges Claimant alleges he was forced to pay to the Egyptian Port Authorities for one of the vehicles in question – the 2023 Honda CRV - when Claimant later reshipped it to Egypt. Complaint at pg. 5; C. Supp. Info. pg. 4 at no. 8.

Because Claimant fails to demonstrate that CMA CGM violated the Shipping Act, he is

not entitled to recover reparations against it.⁴

IV. CONCLUSION

Claimant Sameh Elawamry fails to demonstrate that Respondent CMA CGM (America) violated the Shipping Act. Accordingly, it is hereby **ORDERED** that Sameh Elawamry's request for reparations be **DENIED** and his complaint be **DISMISSED WITH PREJUDICE**.

THERESA DIKE Digitally signed by THERESA DIKE
Date: 2024.10.07 11:14:26 -04'00'

Theresa Dike
Small Claims Officer

⁴ It is also noted that Claimant paid the \$6,915 he seeks to recover to Emarat, rather than to CMA CGM, and he was granted a refund of that payment in the award of reparations against Emarat in *Sameh Elawamry v. Emarat Shipping Inc. and Tareq Elbarq*, Docket No. 2005(I), Initial Decision (SCO Sept. 30, 2024).